**RESEARCH STATEMENT**

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October 26, 2026

> *"Live as if you were to die tomorrow. Learn as if you were to live forever."* (Mahatma Gandhi, 1869–1948)

My research interests are corporate and international finance, applied game theory, financial intermediation, and the role of religion in economics. I do both theory and empirical research. Specifically, I have focused on studying (1) the application of global games to finance; (2) the role of managerial incentive schemes in shareholder value maximization; (3) the analysis of corporate disclosure behavior; (4) the various factors affecting corporate innovation activities; (5) the evaluation of the Korean government's financial policies after the 1997 Asian financial crisis; and (6) the influence of religion on economic behavior and development. In what follows, I explain the contribution of my work to each of these areas.

## Application of Global Games to Finance

First of all, I have developed theoretical models with regard to the contagion of a crisis. In [1] **"Contagion of a Liquidity Crisis Between Two Firms"** (*Journal of Financial Economics*, 2013), I present a model in which the contagion of a liquidity crisis between two nonfinancial institutions occurs because of learning activity within a common creditor pool. After creditors observe what occurs in a rollover game for a firm, they conjecture one another's "type" or attitude towards the risk associated with the firm's investment project. Creditors' inference about one another's type then influences their decision to lend to the next firm. By providing an analysis of the "incidence of failure" (the threshold for a liquidity crisis) for each firm, I demonstrate that the risk of contagion increases sharply, if it originates *ex ante* from a firm facing a low probability of failure. In addition, I propose some policy measures to mitigate the severity of contagion during a liquidity crisis. Based on the idea of the players' learning process as a contagion mechanism in [1], my paper [61] **"Central Bank Transparency and Contagious Currency Crises"** examines the effects of central bank communication on the likelihood of the contagion of a currency crisis between two countries. In [33] **"A Large Creditor in Contagious Liquidity Crises"** (*Journal of Banking & Finance*, 2023), Junghum Park and I present a contagious liquidity crises model for nonfinancial firms where a large creditor influences the extent to which the contagion spreads across firms. With Kyounghun Lee, I consider two firms (i.e., a business group) financially interlinked through cross-shareholding and analyze the role of business group structure in liquidity crises in [64] **"Cross-Shareholding Business Groups and Liquidity Crises"**.

In co-authorship with Kyounghun Lee, I have also written three papers about the implication of the public and private information disclosure in liquidity crises. In [27] **"Credit Ratings and Liquidity Crises"** (*International Journal of Economic Theory*, 2021), we examine the effects of a credit rating agency's information dissemination on a liquidity crisis. We then analyze a model in which a firm's manager privately learns about the expected return on the firm's project and strategically discloses it to investors (i.e., discretionary disclosure) in [29] **"Information Disclosure and Liquidity Crisis"** (*Journal of Accounting and Public Policy*, 2022). Lastly, in [58]

**"Corporate Disclosure, Government Bailout, and Liquidity Crisis"** (*Journal of Corporate Finance*, 2027), with Junghum Park, we explore how a government bailout influences a firm's disclosure decisions when the firm is vulnerable to investment withdrawals.

A corporate takeover is the purchase of a firm ("target") by another ("bidder"). It can be considered as a typical bargaining problem between shareholders of the bidding and target firms. My paper [6] **"Unique Equilibrium in a Model of Takeovers Involving Block Trades and Tender Offers"** (*Finance Research Letters*, 2015), in co-authorship with Sangkyu Baek, focuses on tender offers in cases where small shareholders face coordination problems during takeovers. We find that, without common knowledge of a bidder's negotiation ability with an incumbent blockholder in support of a takeover, the probability of takeover success is uniquely determined if the private information available to small shareholders regarding the bidder's negotiation ability is sufficiently precise. By analyzing this unique equilibrium, we demonstrate that the earmarked freeze-out amount and the expected amount of abnormal returns affect the takeover's outcome. Moreover, we show that the effect of the blockholder's size on the takeover's outcome is determined by the relative size of the earmarked freeze-out amount and the expected amount of abnormal returns.

While global games with strategic complements have been extensively studied, many questions still remain for global games which incorporate strategic substitutes as well. In [23] **"The Role of Large Players in Global Games with Strategic Complements and Substitutes"** (*Economics Letters*, 2021), Kyounghun Lee and I study the effect of the size of a large player on the outcome of a global game that features strategic complements and substitutes. On a theoretical global game model of protest of citizens against a government, we illustrate that there is a non-monotonical relationship between the size of a large civic group and the value of the government's strength threshold (the protest succeeds if and only if the government's strength is below such threshold). We then demonstrate the role of private vs. public information in a global game where both strategic complements and substitutes are present in [24] **"Public Information and Global Games with Strategic Complements and Substitutes"** (*Economics Letters*, 2021).

Furthermore, in co-authorship with Hyunjoon Lim, I have written two survey/policy papers about the crisis and contagion theories in Korean. In [2] **"Recent Theories Regarding Financial Contagion"** (*Economic Analysis*, 2013), we introduce the mechanisms of shock contagion and amplification. Specifically, we explain theory models focusing on portfolio readjustment; the limitation on investors' management and borrowing; changes in the risk-evading level, asymmetry and imperfection of information; debtor and creditor relations among banks; limited ability of investors in terms of the collection and process of information; and homogenization of investor behavior. With these models, we try to identify mechanisms in the contagion of financial market shocks in recent years and explore their implications on policy alternatives.[1] Then, in [4] **"Understanding Currency Crises and Their Contagion"** (*Journal of Economic Theory and Econometrics*, 2014), we discuss theoretical explanations of currency crises and the contagion from them. We provide a basic introduction to the frameworks of three classical currency crisis models and assess each model's implications. This is followed by an introduction of a global game approach in these crisis models, which helps to overcome the limits found in them. Based on our global game analysis, we explain the contagion between two economies.

[1] In [43] **"The Effectiveness of Capital Controls and Macroprudential Measures"** (*KDI Journal of Economic Policy*, 2023), Junyong Lee, Kyounghun Lee, and I review the recent literature on the effectiveness of capital controls and macroprudential measures.

## Managerial Decision-Making and Corporate Governance

Corporate governance is a major factor in determining the value of a firm and its shareholders. In [7] **"Corporate Governance Structure and Product Market Competition"** (*Applied Economics*, 2016), jointly with Kyung Suh Park, we theoretically assess the effects of the competitive structure of a product market on a firm's corporate governance structure. Our model demonstrates that shareholders strategically determine the corporate governance structure, including the manager's stock ownership and his controlling power over the firm, in order to maximize their utility in the product market competition. Based on the idea proposed in [7], with Kyounghun Lee, I have delved into the role of governance structure in maximizing shareholders' utility in various aspects. In [35] **"Private Benefits of Control and the Core"** (*B.E. Journal of Economic Analysis & Policy*, 2023), we analyze a production economy with private benefits of control using the concept of the core. In the proposed model, a controlling shareholder's preference depends not only on consumption but also on private benefits in proportion to the firm's production level and his controlling power. Then, our paper [52] **"Shareholder Voting and Efficient Corporate Decision-Making"** (*Research in Economics*, 2024) assesses the effects of shareholder voting on a firm's decision-making by considering two voting methods: majority voting (MV) and quadratic voting (QV). Our model demonstrates that under both MV and QV, the firm's decision is efficient if shareholders collectively make the voting decisions. With Junyong Lee, we highlight the signaling role of ESG and provide new empirical predictions about ESG investment in [67] **"ESG as a Signal of Firm Value"**.

Continuing to pursue my interest in the role of corporate governance, I have conducted many empirical works with my co-authors. Frederick L. Bereskin, Bushik Kim, and I note, in our paper [5] **"Do Credit Rating Concerns Lead to Better Corporate Governance? Evidence from Korea"** (*Pacific-Basin Finance Journal*, 2015), that credit rating concerns affect firms' corporate governance. Specifically, we study the 1997 Asian financial crisis to show that credit rating concerns affect firms' corporate governance. In [15] **"Owner-Managers and Firm Performance during the Asian and Global Financial Crises: Evidence from Korea"** (*Applied Economics*, 2019), Denis Yongmin Joe, Dukhee Jung, and I examine the performance of the Korean owner-managers during the 1997–1998 Asian financial crisis and the 2008–2009 global financial crisis to establish whether they overcome unexpected exterior shocks better than employed managers. We find that the owner-managers record a significantly greater performance during the crises, and especially during the latter period. Our work highlights the role of owner-managers by studying their performance during the Korean economic crisis periods. Lastly, extending the idea of [7], in [22] **"Does Product Market Competition Affect Corporate Governance? Evidence from Corporate Takeovers"** (*Journal of Empirical Finance*, 2020), Sean Seunghun Shin and I provide evidence that shareholders strategically relax corporate governance in response to increases in competition pressures in the product market. Particularly, we find that when there is more competition threat in the product market, firms adopt entrenchment provisions to a significantly greater extent.

More fundamentally, I have also studied the influence of managerial incentive scheme on the firm's value and activities. In [32] **"Managerial Incentives and the Medium of Exchange in Takeovers"** (*Managerial and Decision Economics*, 2022), Junghum Park and I present a model of the medium of exchange in takeovers in which managerial incentives detemine the choice of an offer by a bidder manager. We consider a framework where the offer is proposed to the target depending on the bidder manager's private information on synergy and control rights. We demonstrate that the perception of the bidder manager with a high appetite for increasing firm size raises the proportion of cash in the offer. Moreover, an increase in the cash flow rights held by the bidder manager leads to

a reduction in the proportion of cash in the offer. Extending the research themes in [32], Kyounghun Lee and I have written two papers. In [44] **"Freeze-Out Mergers: The Case of Shareholders with Multiple Shares"** (*Applied Economics Letters*, 2024), we analyze freeze-out mergers in cases where shareholders have multiple shares. Our model demonstrates that a raider's increased ability to freeze out non-tendering shares lowers shareholders' incentives to free ride. Then, in [63] **"Managerial Incentives, Market Expectations, and Investment Inefficiency"**, we demonstrate how managerial incentives can motivate a manager to use investment decisions to affect market expectations about a firm. As empirical works, in [30] **"The Role of Credit Default Swaps in Determining Corporate Payout Policy"** (*Financial Management*, 2022), Hwang Hee Lee and I study the implications for understanding the real effects of CDS on corporate decision making. Specifically, we show that the introduction of CDS trading affects the manager's decision on corporate payout policy. Further, with Junyong Lee and Kyounghun Lee, I demonstrate that credit rating concerns affect a firm's ESG behavior in [54] **"Credit Ratings and Corporate ESG Behavior"** (*Quarterly Review of Economics and Finance*, 2024).

## Corporate Disclosure

Corporate disclosure behavior is traditionally at the heart of accounting and finance. Basically, I have studied the determinants of corporate disclosure behavior. In [18] **"Potential Competition and Quality Disclosure"** (*Journal of Economics & Management Strategy*, 2019), Junghum Park and I develop a model of quality disclosure in which an incumbent, through its quality and disclosure choices, influences the possibility of a new entrant entering a market. In this regard, we consider a sequential framework where the incumbent chooses its quality and decides whether to disclose it to the market; subsequently, the entrant makes the same decisions, if it enters the market. We show that potential competition can create strategic incentives for the incumbent to choose non-disclosure, because the availability of information about the incumbent's quality promotes entry by enhancing the entrant's expected profit from the market. In addition, an analysis of the effects of the mandatory disclosure law suggests that such law can be effective in promoting a new entrant into a market, as well as in terms of improving the product quality of established firms. Then, based on the ideas of [7] and [22] (i.e., the role of corporate governance and managerial incentive structure in maximizing the firm's and shareholders' values), Kyounghun and I analyze a manager's investment decisions in cases where he incurs private costs to disclose information in [31] **"Mandatory Disclosure, Investment, and Private Benefits of Control"** (*Economics Letters*, 2022).

Junghum and I have conducted two empirical works. In [10] **"Credit Ratings and Corporate Disclosure Behaviour: Evidence from Regulation Fair Disclosure in Korea"** (*Applied Economics*, 2017), we provide evidence that firms with high market expectations disclose more information to investors, using the fair disclosure regulation in Korea to proxy for their disclosure choices. This finding is consistent with the argument that, in order to retain their dominant positions, highly evaluated firms are more concerned about the market's perception of them as providers of timely and detailed disclosure. We also have analyzed the role of enforcement for corporate disclosure behavior in [28] **"The Impact of Mandatory K-IFRS Adoption on IPO Underpricing"** (*International Journal of Finance & Economics*, 2022). With Hyun Duk Lee, we examine whether mandatory Korean International Financial Reporting Standards (K-IFRS) adoption in Korea reduces initial public offering (IPO) underpricing. We find that IPO underpricing has increased following the mandatory adoption of K-IFRS in 2011. We also show that this relation is more pronounced for non-chaebol firms, firms not backed by venture capital, and firms in concentrated industries. This suggests that the negative impact of K-IFRS adoption is

concentrated on the firms with a greater pre-adoption information asymmetry. Our results indicate that some policy consideration is needed in order to help investors adapt to the newly adopted standards, especially to those related to firms seeking to go public.

Recently, with Junyong Lee, I have investigated whether foreign equity participation enhances the level of transparency in Korean listed firms' accounting information in [46] **"Do Foreign Investors Make Firms More Transparent? Evidence from Korea"** (*Journal of Multinational Financial Management*, 2024) and have found that foreign ownership has indeed a positive effect on the accounting transparency of firms. With Yeonghyeon Kim, Junyong Lee, and Kyounghun Lee, I then have used the panel data on the Korean listed firms during the 1995–2019 period to examine the corporate disclosure patterns according to changes in firm states during financial crises in [48] **"Corporate Disclosure Behavior during Financial Crises: Evidence from Korea"** (*Journal of Financial Stability*, 2024). We have basically observed that firms precisely (opaquely) disclose their information when a change in return on assets is positive (negative) during the crises.

## Corporate Innovation

Innovation is a key driver of firms' long-run comparative advantages. I have conducted various empirical works delving into the factors to determine a firm's innovative activities. First, my paper [20] **"Corporate Innovation and Credit Default Swap Spreads"** (*Finance Research Letters*, 2020), in co-authorship with Hwang Hee Lee, shows that the performance of corporate innovation is reflected in credit market valuation. My other innovation papers focus on the Korean market. I have checked the role of foreign investment (in [17] **"Foreign Ownership and Firm Innovation: Evidence from Korea"** (*Global Economic Review*, 2019; co-authored with Denis Yongmin Joe and Heechan Yoo)), social capital (in [26] **"Social Capital and Firm Innovation: Evidence from Cooperative Banking in Korea"** (*Asia-Pacific Journal of Financial Studies*, 2021; co-authored with Heejin Yoon)), and venture capital (in [37] **"Does Venture Capital Investment Enhance Corporate Innovation? Evidence from Korea"** (*Journal of Business Finance & Accounting*, 2023; co-authored with Kyounghun Lee, Donglim Shin, and Heejin Yoon)) in increasing the effectiveness and efficiency of firm innovation.

I also have focused on the Korean chaebols' (i.e., business groups) characteristics in explaining the corporate innovation. First of all, I have looked over the role of internal capital (in [40] **"Internal Capital Markets and R&D Investment: Evidence from Korean Chaebols"** (*Emerging Markets Finance and Trade*, 2023; co-authored with Seiwoong Hong and Donglim Shin)) and labor markets (in [38] **"Internal Labor Markets and Corporate Innovation: Evidence from Korean Chaebols"** (*International Review of Economics & Finance*, 2023; co-authored with Kyounghun Lee, Donglim Shin, and Heejin Yoon)) separately. Then, in [47] **"Innovation Spillovers Within Business Groups: Evidence from Korean Chaebols"** (*Emerging Markets Review*, 2024), jointly with Kyounghun Lee, Donglim Shin, and Heejin Yoon, we overall examine innovation spillovers within chaebols. We find that an affiliated firm's innovation is affected positively by both within- and outside-group innovation spillover pools. Specifically, the impact of the within-group pool is more pronounced than that of the outside-group pool. We further find that within-group spillovers are stronger for affiliates with closer internal business relationships and for those whose controlling shareholders have higher group- or firm-level equity stakes. Finally, we show that greater within-group innovation spillovers lead to higher group-level innovation outputs. Overall, our study suggests a pivotal role of business groups in promoting corporate innovation via effective innovation spillovers.

## Crises and the Korean Government's Financial Policies

My research on the evaluation of the Korean government's financial policies after the 1997 Asian financial crisis can be divided into three related and interdependent themes. First, I have analyzed the effects of the Korean government's policies on the environment of the financial markets. My paper [3] **"Assessing Competitive Conditions in Korea's Credit Rating Industry after the 1997 Financial Crisis"** (*Economics Bulletin*, 2014) investigates the market structure of Korea's credit rating industry during the 1990–2007 period. In this paper, I use the Rosse-Panzar methodology to evaluate the Korean government's financial restructuring policy for fostering the competitive condition in the credit rating industry after the 1997 financial crisis. The results suggest that the degree of market competition in the credit rating industry increased after the implementation of the Korean government's financial restructuring policy. Furthermore, the results of my analysis indicate that, after the financial restructuring process, the market structure of Korea's credit rating industry became an oligopoly in a contestable market, which is economically equivalent to the structure of perfect competition. Then, I have studied the corporate reaction to the credti ratings. In [12] **"Credit Ratings and Corporate Cash Holdings: Evidence from Korea's Corporate Reform after the 1997 Asian Financial Crisis"** (*Japan and the World Economy*, 2018), Denis Yongmin Joe and I examine the extent to which credit ratings affect firms' cash holdings by investigating the circumstances in Korea after the 1997 Asian financial crisis. We find that, due to the costs and benefits associated with different rating levels, credit ratings are a major consideration for corporate cash management. Based on the methodology in [12], Seiwoong Hong, Wonkyun Kim, Junyong Lee, and I demonstrate that firms that have experienced credit rating downgrades reduce their risk-taking following the 1997 Asian crisis in our paper [41] **"Credit Ratings and Corporate Risk-Taking Behavior: Evidence from Korea"** (*Applied Economics Letters*, 2023).

With Hyunjun Lim, I have analyzed Korea's debt-crisis episodes after the 1997 Asian financial crisis to understand the government's role in providing liquidity during the crisis period in [8] **"The Effectiveness of Liquidity Provision during Debt Crises: Evidence from Korean Firm-Level Data"** (*Financial Stability Studies*, 2016).[2] Specifically, based on theoretical and empirical analyses with regard to the Korean government's liquidity provision policy in early 2000s, we find that there have been individual cases when a firm that had a sufficient long-run ability to fulfill its obligation fell into a temporary illiquid situation. Moreover, there have been cases when the magnitude of the crisis was greater than the degree that could be explained by deteriorating fundamentals. Therefore, we argue that, as an emergency measure in a crisis, it is necessary to provide a liquidity backstop for firms. I have also studied whether "Chonsei," the distinctive type of housing contract system in Korea, has a favorable impact on house prices during market downturn periods (in [16] **"The Role of Chonsei as a Price Protector in the Korean Housing Market"** (*International Economic Journal*, 2019; co-authored with Heejin Yoon)); whether the government-driven policy of promoting the creation of financial holding companies enhances the productive efficiency of the Korean financial system (in [19] **"The Efficiency of Financial Holding Companies in Korea"** (*Korean Economic Review*, 2020; co-authored with Garam Ahn and Junghum Park)); and how the business models of Korean general trading companies (GTCs) have evolved following the abolition of the GTC designation system in 2009 (in [70] **"The Evolution of Business Models of Korean General Trading Companies"** (co-authored with Sanghyeon Song)).

Second, I have studied the impact of foreign entry liberaliation on the Korean financial markets. Broadly, in [11] **"Foreign Investor Behavior in Korea after the 1997 Asian Financial**

[2] This paper is written in Korean.

**Crisis"** (*Journal of the Japanese and International Economies*, 2017), Denis Yongmin Joe and I investigate the behavior of foreign investors in the Korean stock market after the 1997 Asian financial crisis (1999–2014). We analyze the industrial distribution of foreign ownership and find that foreign investors hold fewer stocks in the manufacturing sectors than in the non-manufacturing sectors. We also find that foreign equity investments are concentrated in firms above a certain size. Moreover, foreign investors show a preference for large, profitable, highly liquid, and growth firms, as well as firms with large boards. Then, in [9] **"Did Foreign Ownership of Korean Credit Rating Agencies Improve Their Ratings?"** (*Contemporary Economic Policy*, 2017), we analyze the credit rating industry in Korea. With Junyong Lee, I have continued to investigate the effectiveness of foreign entry liberalization in the specific sectors in Korea such as banking (in [55] **"Foreign Bank Entry and Performance of Domestic SMEs: Evidence from Korea"** (*Annals of Finance*, 2025)), foreign direct investment (in [57] **"Foreign Direct Investment during Financial Crises: Evidence from Korea"** (*International Review of Economics & Finance*, 2026)), and current account (in [49] **"Capital Account Liberalization and Economic Performance: Evidence from Korea"** (*Journal of International Trade & Economic Development*, 2024)).[3]

Third, I have explored the unique features of Korean chaebols (i.e., business groups) with the government's regulations to improve their corporate governance. In [13] **"Spillover Effects Within Business Groups: The Case of Korean Chaebols"** (*Management Science*, 2018), Denis Yongmin Joe and I examine the spillover effects that occur within chaebols by focusing on the market reactions of event firms to announcements of credit rating changes. We find that there are positive spillovers (caused by positive market reactions) and negative spillovers (caused by negative market reactions) driven by the market reactions of event firms. The results of the analysis indicate that negative spillovers are more dominant than positive spillovers. Moreover, a spillover driven by a leading firm within a group has stronger effects on other firms in the group than a spillover driven by a non-leading firm. This suggests that the market evaluation of a chaebol group is conducted more on the basis of a leading firm than a non-leading firm within a group. Then, I have analyzed the effects of the chaebol owner-managers' control-ownership disparity on stock market predictability (in [14] **"Control-Ownership Disparity and Stock Market Predictability: Evidence from Korean Chaebols"** (*Finance Research Letters*, 2018; co-authored with Denis Yongmin Joe and Cheolbeom Park)), chaebols' CSR activities (in [25] **"Do Korean Chaebols Practice Noblesse Oblige? Evidence from Their CSR Activities"** (*Economics and Business Letters*, 2021; co-authored with Denis Yongmin Joe and Jiyoung Lee)), and the effective contribution of internal capital markets for chaebols during crisis periods (in [56] **"The Role of Internal Capital Markets during Financial Crises: Evidence from Korean Chaebols"** (*Journal of Financial Research*, 2026; co-authored with Junyong Lee, Kyounghun Lee, and Jungheon Park)).

## Religion and Economics

Religion has played an important role in our world – it affects people's beliefs and lives, cultural norms, societies, and indeed our economy. My recent academic interest covers the economic study of religion. For an individual level, first of all, in [53] **"Religion and Household Saving Behavior"** (*Journal of Behavioral and Experimental Finance*, 2024), Seiwoong Hong, Junyong Lee, Donglim Shin, and I analyze the effect of religion on household saving behavior. We find that religious

[3] On the contrary, in [51] **"On the Hysteresis in the Foreign Market Entry and Exit"** (*Review of International Money and Finance*, 2024), Hyunjoon Lim and I analyze a model of the entry and exit of foreign firms in the U.S. market (i.e., advanced economy) in response to real exchange rate fluctuations: specifically, the hysteresis in trade based on Dixit's [1989] sunk-cost model. This paper is written in Korean.

households (i.e., households that have a religious affiliation) save more than non-religious households. Furthermore, this positive association between religious affiliation and saving propensity is more pronounced for Catholics than Protestants. Then, I have examined the effects of religiosity on various corporate actions, including corporate disclosure (in [21] **"Religion and Corporate Disclosure Quality"** (*Hitotsubashi Journal of Economics*, 2020; co-authored with Donglim Shin)), corporate innovation (in [45] **"Religion and Corporate Innovation"** (*Journal of Multinational Financial Management*, 2024; co-authored with Junyong Lee and Donglim Shin)), corporate fraud (in [65] **"Religion and Corporate Fraud"** (co-authored with Seiwoong Hong, Kyounghun Lee, and Donglim Shin)), cross-border M&As (in [60] **"Religion and Cross-Border Mergers and Acquisitions"** (co-authored with Donglim Shin)), derivative usage in the hedge fund industry (in [39] **"Religion and Derivative Use: Evidence from the Hedge Fund Industry"** (*Journal for the Scientific Study of Religion*, 2023; co-authored with Junyong Lee and Kyounghun Lee)), branch banking (in [50] **"Religion and Branch Banking"** (*Journal of Financial Intermediation*, 2024; co-authored with Junyong Lee and Kyounghun Lee)), and corporate trade credit decisions (in [68] **"Religiosity and Trade Credit during COVID-19"** (co-authored with Junyong Lee)) and banking behavior (in [69] **"Religion and Banking Behavior during COVID-19"** (co-authored with Junyong Lee and Kyounghun Lee)) during the COVID-19 pandemic. Overall, our works highlight the importance of religion in shaping corporate behavior in financial markets.

Finally, I have extended the religion study to the country level. In [59] **"The Role of Religion and Social Trust in Financial Development and Structure"** (forthcoming in the *Central Bank Review*), Donglim Shin and I examine whether religion influences the financial development and structure of a country. In a sample of 46 countries between 1996 and 2015, we find that religiosity fosters financial development and a market-based financial structure, whereas religious hierarchy and moderate religious heterogeneity induce financial underdevelopment and a bank-based structure. Moreover, in [62] **"Religion and Financial Integration"**, Junyong Lee, Kyounghun Lee, and I check that the cross-border financial integration is significantly affected by religion. Then, in [36] **"Religion and Foreign Direct Investment"** (*International Business Review*, 2023), Seiwoong Hong, Junyong Lee, Donglim Shin, and I construct a country-level measure for religiosity and find an asymmetric effect of religiosity on FDI flows. That is, FDI flow is negatively associated with the home country's level of religiosity and positively associated with the host country's level of religiosity. Relatedly, we have checked that terrorism in the host country (measured by the number of terrorist attacks or victims) is negatively associated with country-pair FDI flows between home and host countries in our next short paper [66] **"Foreign Direct Investment and Terrorism: The Roles of Corporate Governance and Bilateral Investment Treaties"**. In a survey paper about the home bias puzzle [34] **"International Portfolio Diversification and the Home Bias Puzzle"** (*Research in International Business and Finance*, 2023), jointly with Junyong Lee and Kyounghun Lee, we argue the role of religion in this puzzle and suggest the future research agenda. Indeed, in our paper [42] **"Religion and Equity Home Bias"** (*Open Economies Review*, 2023), we show that both religiosity and religious hierarchy positively affect equity home bias, whereas religious diversity has the opposite effect.

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